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07

Marketing – Helping Buyers Buy



Learning Objectives

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PART 1. Define marketing and apply the **marketing concept** to both for-profit and nonprofit organizations.

PART 2. Describe the **four P's of marketing**.

PART 3. Summarize the **marketing research process**.

PART 4. Show how marketers use environmental scanning to learn about the changing **marketing environment**

PART 5. Explain how marketers apply the tools of market segmentation, relationship marketing and the study of **consumer behavior**.

PART 6. Compare the **business-to-business market and the consumer market**.

What's Marketing?

- **Marketing** -- The activity, set of institutions and processes for **creating**, **communicating**, **delivering**, and **exchanging offerings** with value for customers, clients, partners, and society at large.

In the **past** marketing focused almost entirely on **helping the seller sell**.

That's why many people still think of it as **mostly selling**, **advertising**, and **distribution** from the seller to the buyer.

Marketing **today** involves **helping the buyer buy** through:

- **Websites** that help buyers find the best price, identify product features, and question sellers.
- **Blogs** and **social networking sites** that cultivate consumer relationships.

The Evolution of Marketing

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Production Era → **Selling Era** → **Marketing Concept Era** → **Customer Relationship Era** → **The Emerging Mobile/On-demand Marketing Era**

The general philosophy was "Produce what you can because the **market is limitless**."

After mass production, the focus turned from **production to persuasion** (Selling)



The Evolution of Marketing

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Production Era → **Selling Era** → **Marketing Concept Era** → **Customer Relationship Era** → **The Emerging Mobile/On-demand Marketing Era**

- After WWII, a **consumer spending boom** developed.
- Businesses knew they needed to be **responsive** to consumers if they wanted to get their business.

The Marketing Concept includes three parts:

Customer Orientation

Finding out what customers want and then providing it.

Service Orientation

Making sure everyone in an organization is committed to customer satisfaction.

Profit Orientation

Focusing on the goods and services that will earn the most profit.

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- **Customer Relationship Management (CRM) --** Learning as much as you can about customers and doing what you can to satisfy or exceed their expectations.
- Organizations seek to enhance customer satisfaction building **long-term relationships**. For example:
  - Most airlines offer frequent-flier programs that reward loyal customers with free flights

The Evolution of Marketing



As digital technology continues to grow, consumer demands are expected to rise in:

1. ***Now***: Consumers want to interact anywhere, anytime.
2. ***Can I?***: They want to use information in new ways that create value for them.
3. ***For me***: Consumers expect personalized experiences.
4. ***Simply***: Consumers want all interactions to be easy.

Marketing For Nonprofit Organization

Charities use marketing to **raise funds** for combating world hunger, for instance, or to obtain other resources

Marketing can be used for:

- Fundraising
- Public Relations
- Special Campaigns
- Ecological practices
- Changing public opinions and attitudes
- Increasing organizational membership



Greenpeace.org.uk/carex

The Marketing Mix: Four Ps

Managing the controllable parts of the marketing process means:

(1) designing a want-satisfying **product**

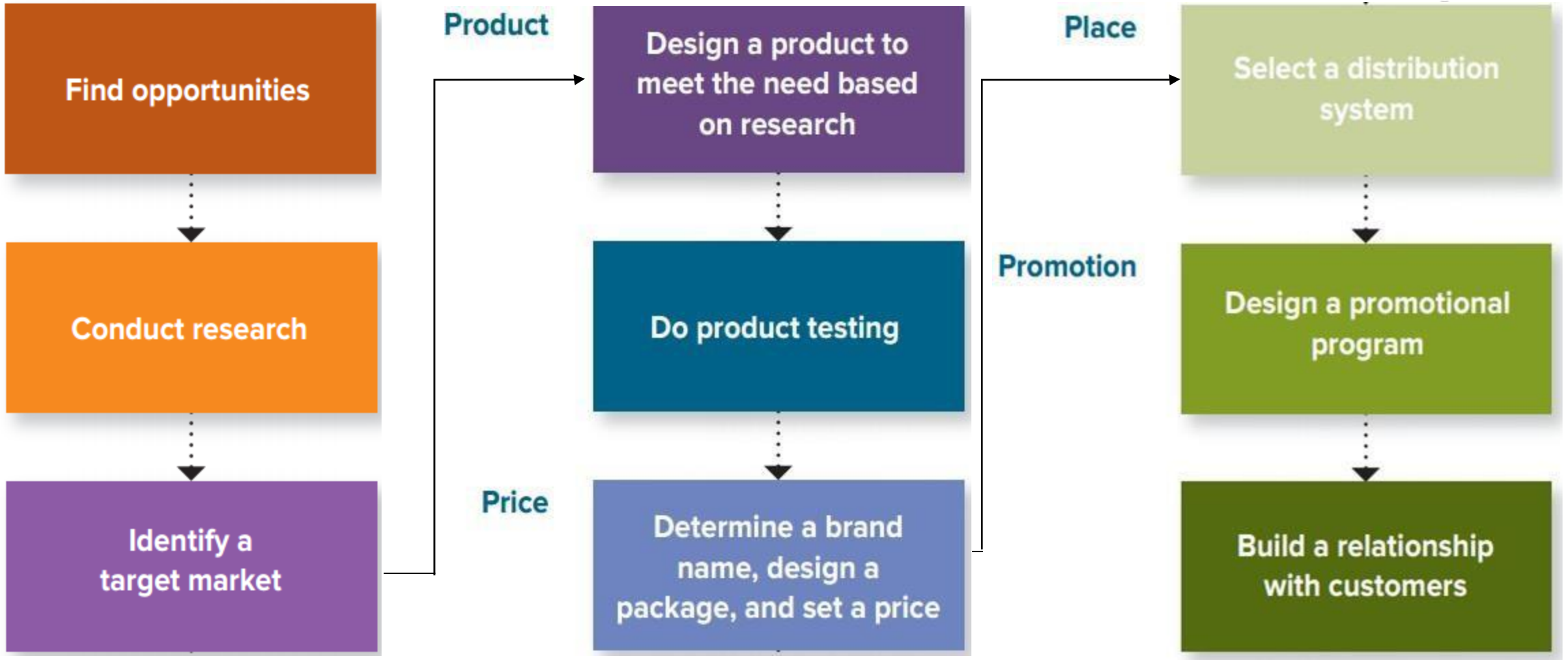
(2) setting a **price** for the product

(3) putting the product in a **place** where people will buy it

(4) **promoting** the product.



The Marketing Process With The Four Ps



*Designing a **Product** to Meet Consumer Needs*

- **Product --** *A good, service, or idea that satisfies a consumer's want or need.*
- **Test Marketing --** *Testing product concepts among potential product users.*
- **Brand Name --** *A word, letter, or a group of words or letters that differentiates one seller's goods from a competitors.*



*Setting **Price** And Distributing To The Right **Place***

- **Pricing** products depends on many factors: (will be discussed more in Chapter 14)

Competitors' prices	Production costs	Distribution	High or low price strategies

- There are several ways you can serve the market with your products.
  - **Middleman** will play important role because getting the product to the right **place** (when and where consumers want) is critical to market success. (It will be discussed more in Chapter 15)

Promoting *The Product*

- **Promotion --** *All the techniques sellers use to inform people about their products and motivate them to purchase those products.*
- *Promotion often includes relationship building with customers.*
- Promotion includes:
  - Advertising
  - Personal selling
  - Public relations
  - Word of mouth
  - Sales promotions

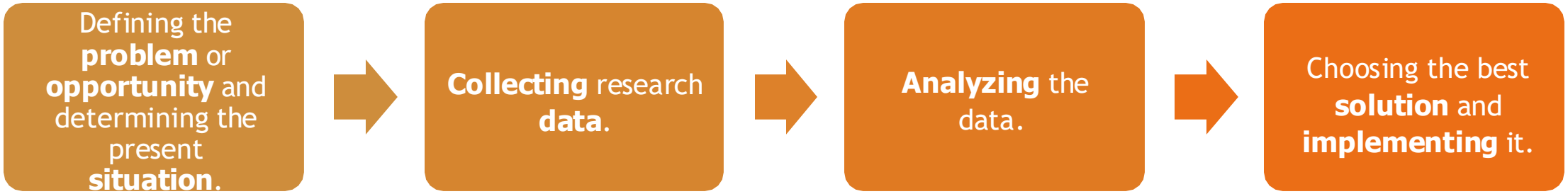
(It will be discussed more in Chapter 16)



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Marketing Research Process

- **Marketing Research --** *Analyzing markets to determine challenges and opportunities, and finding the information needed to make good decisions.*
- Research is used to identify products consumers have used in the past and what they want in the future.
- Research uncovers market trends and attitudes held by company insiders and stakeholders.
- **Four Steps In The Marketing Research Process**



FOUR STEPS IN THE MARKETING RESEARCH PROCESS

Defining the problem or opportunity and determining the present situation.	Collecting research data.	Analyzing the data.	Choosing the best solution & implementing it.
What's the present situation?	Primary Data	Turn data into useful information	Following up on actions taken
What are the alternative?	Secondary Data		Take corrective action
What information is needed? How to gather it?			

Key Benefits of Marketing Research

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Analyze customer **needs** and **satisfaction**.



Analyze current markets and **opportunities**.



Analyze the **effectiveness** of marketing strategies.



Analyze **marketing** process and tactics **currently** used.



Analyze the **reasons** for goal achievement or failure.

How has the Internet changed the way market research is conducted?

Using Environmental Scanning

- **Environmental Scanning --** *The process of identifying factors that* **affect marketing success**.

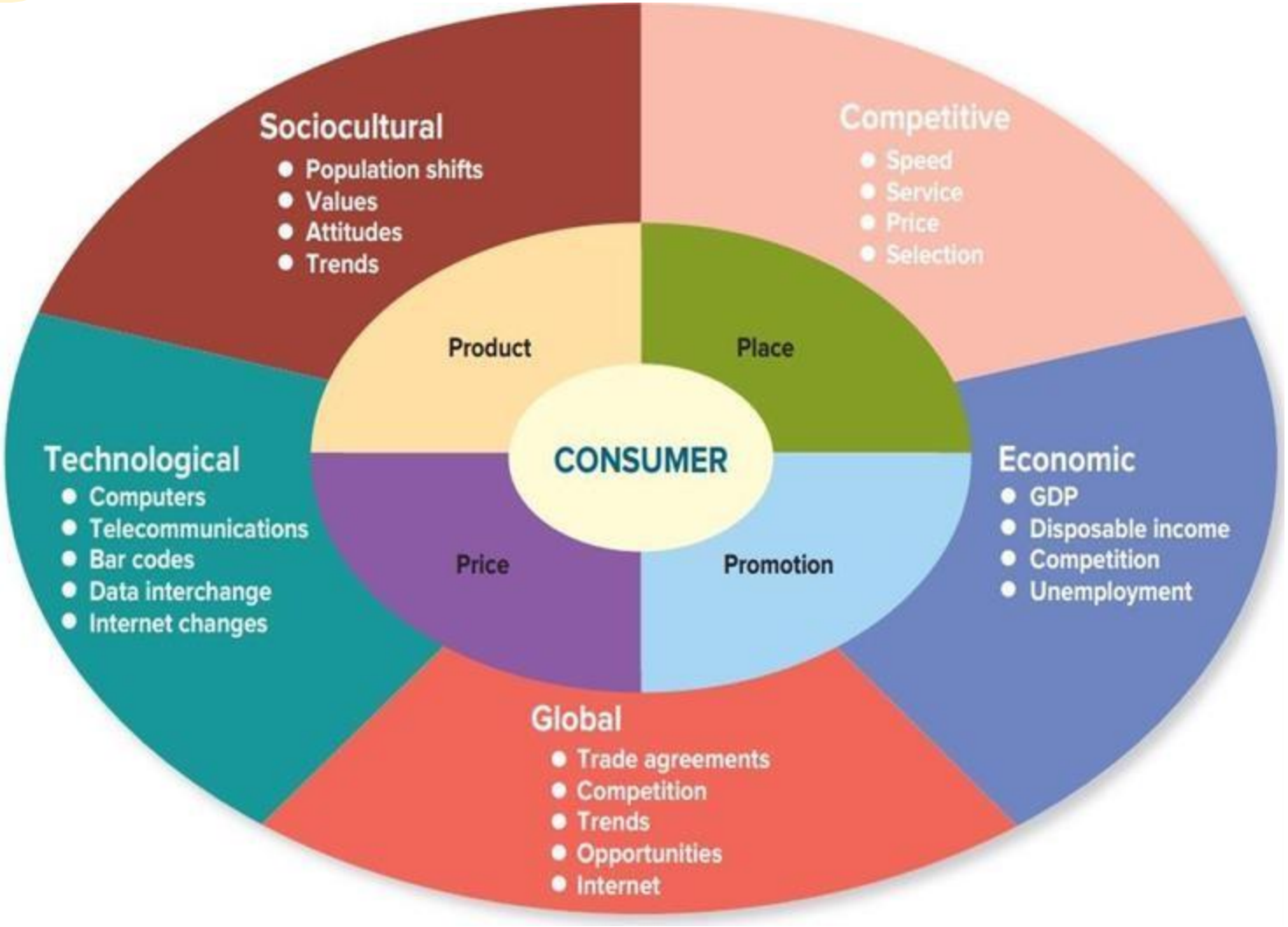
- Real Example:
- Legos are far more expensive in China and part of that is due to distribution costs.
  - By building a factory near Shanghai, Lego hopes to take advantage of the potential market growth and lessen the price for families.

Factors involved in the environmental scan include:

- Global factors
- Technological factors
- Sociocultural factors
- Competitive factors
- Economic factors

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The Marketing Environment



Two Different Markets: B2C and B2B

- **Consumer Market (B2C) --** *All the individuals or households that want goods and services for personal use and have the resources to buy them.*

- **Business-to-Business (B2B) --** *Individuals and organizations that buy goods and services to use in production or to sell, rent, or supply to others.*

Will the marketing strategy between these two markets be different?



https://www.foodbusinessnews.net/



https://www.marketingdonut.co.uk/

Marketing to Consumers

- The size and diversity of the consumer market forces marketers to decide which groups they want to serve.
- **Market Segmentation --** *Divides the total market into groups with similar characteristics.*

Geographic Segmentation -- *Dividing the market by cities, counties, states, or regions.*

Demographic Segmentation -- *Dividing the market by age, income, education, and other demographic variables.*

Psychographic Segmentation -- *Dividing the market by group values, attitudes, and interests.*

Benefit Segmentation -- *Dividing the market according to product benefits the customer prefers.*

Volume (Usage) Segmentation -- *Dividing the market by the volume of product use.*

- **Target Marketing --** *Selecting which segments an organization can serve profitably.*

Main Dimension	Sample Variables	Typical Segments
Geographic segmentation	Region	Northeast, Midwest, South, West
	City or county size	Under 5,000; 5,000–10,999; 11,000–19,999; 20,000–49,000; 50,000 and up
	Density	Urban, suburban, rural
Demographic segmentation	Gender	Male, female
	Age	Under 5; 5–10; 11–18; 19–34; 35–49; 50–64; 65 and over
	Education	Some high school or less, high school graduate, some college, college graduate, postgraduate
	Race	Caucasian, African American, Indian, Asian, Hispanic
	Nationality	American, Asian, Eastern European, Japanese
	Life stage	Infant, preschool, child, teenager, collegiate, adult, senior
	Income	Under $15,000; $15,000–$24,999; $25,000–$44,999; $45,000–$74,999; $75,000 and over
	Household size	1; 2; 3–4; 5 or more
	Occupation	Professional, technical, clerical, sales supervisors, farmers, students, home-based business owners, retired, unemployed
Psychographic segmentation	Personality	Gregarious, compulsive, extroverted, aggressive, ambitious
	Values	Actualizers, fulfillers, achievers, experiencers, believers, strivers, makers, strugglers
	Lifestyle	Upscale, moderate
Benefit segmentation	Comfort Convenience Durability Economy Health Luxury Safety Status	(Benefit segmentation divides an already established market into smaller, more homogeneous segments. Those people who desire economy in a car would be an example. The benefit desired varies by product.)
Volume segmentation	Usage	Heavy users, light users, nonusers
	Loyalty status	None, medium, strong

Reaching Smaller Market Segments

- **Niche Marketing --** *Identifies small but profitable market segments and designs or finds products for them.*
  - Example, selling to vegetarian consumer

- **One-to-One Marketing--** *Developing a unique mix of goods and services for each individual consumer.*
  - Example travel agencies develop packages for individual consumers



https://xtalks.com



https://www.pinterest.co.uk/pin/161496336616824060/

Steps in the Consumer Decision-making Process

1. Problem recognition
2. Search for information
3. Evaluating alternatives
4. Purchase decision
5. Postpurchase evaluation



Factors That Affect Consumer Behavior

Learning

- If you've tried a particular brand of shampoo and don't like it, you've learned not to buy it again

Reference Group / Social Factors:

- Family, friends, and social networks can significantly impact purchasing decisions through recommendations and social influence.

Cultural Factors

- These include culture, subculture (race, ethnicity, etc), and social class, which shape consumers' values, perceptions, and preferences.

Psychological Factors:

- Motivation, perception, beliefs, attitudes, and learning play crucial roles in how consumers think about and decide on purchases. Example: cognitive dissonance (conflict that may occur after a purchase)

Personal Factors:

- Age, occupation, lifestyle, personality, and economic situation affect how and why consumers make purchasing choices.

Business to Business (B2B) Market

- Business-to-business (B2B) marketers include **manufacturers**; intermediaries such as **retailers**; institutions like **hospitals, schools**, and **charities**; and **the government**.



- Several factors make B2B marketing different, including:
  - Customers in the B2B market are relatively **few**;
  - Business customers are relatively **large**;
  - B2B markets tend to be
    - **geographically concentrated**
  - Business buyers are generally **more rational** and less emotional than ultimate consumers;
  - B2B sales **tend to be direct**, but not always.
  - Whereas consumer promotions are based more on advertising, B2B sales are based on **personal selling**.

B2C & B2B Market Differences

	Business-to-Business Market	Consumer Market
Market Structure	Relatively few potential customers	Many potential customers
	Larger purchases	Smaller purchases
	Geographically concentrated	Geographically dispersed
Products	Require technical, complex products	Require less technical products
	Frequently require customization	Sometimes require customization
	Frequently require technical advice, delivery, and after-sale service	Sometimes require technical advice, delivery, and after-sale service
	Buyers are trained	No special training
Buying Procedures	Negotiate details of most purchases	Accept standard terms for most purchases
	Follow objective standards	Use personal judgment
	Formal process involving specific employees	Informal process involving household members
	Closer relationships between marketers and buyers	Impersonal relationships between marketers and consumers
	Often buy from multiple sources	Rarely buy from multiple sources

Referensi

- Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2018). Understanding business(12th edition). Boston: McGraw-Hill/Irwin

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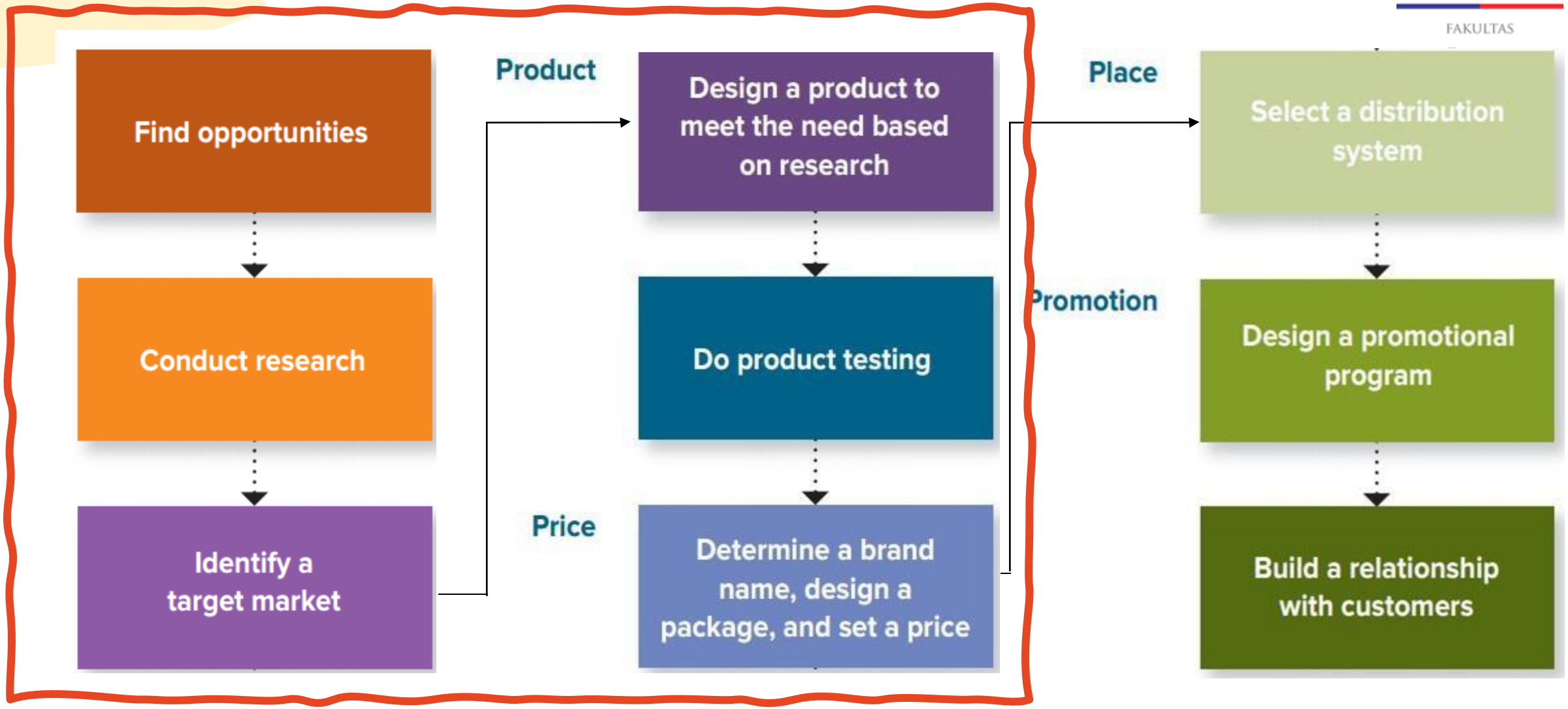
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08

Developing and Pricing Goods and Service



The Marketing Process With The Four Ps



Learning Objectives

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PART 1. Describe a **total product offer**

PART 2. Identify the various kinds of **consumer and industrial goods.**

PART 3. Summarize the functions of **packaging**.

PART 4. Contrast **brand, brand name, and trademark**, and show the value of brand equity.

PART 5. Explain the steps in the **new-product development process**.

PART 6. Describe the **product life cycle**.

PART 7. Identify various **pricing objectives** and **strategies**

Product Development & Value

The best way to **compete** is to design and promote **better products**, meaning products that customers perceive to have the **best value**



According to the American Marketing Association, *value is a foundation of marketing*.

Value -- Good quality at a fair price

When consumers calculate the value of a product, they look at the **benefits** and then subtract the cost (price) to see whether the benefits exceed the **cost**

Product development is a key activity in any modern business.

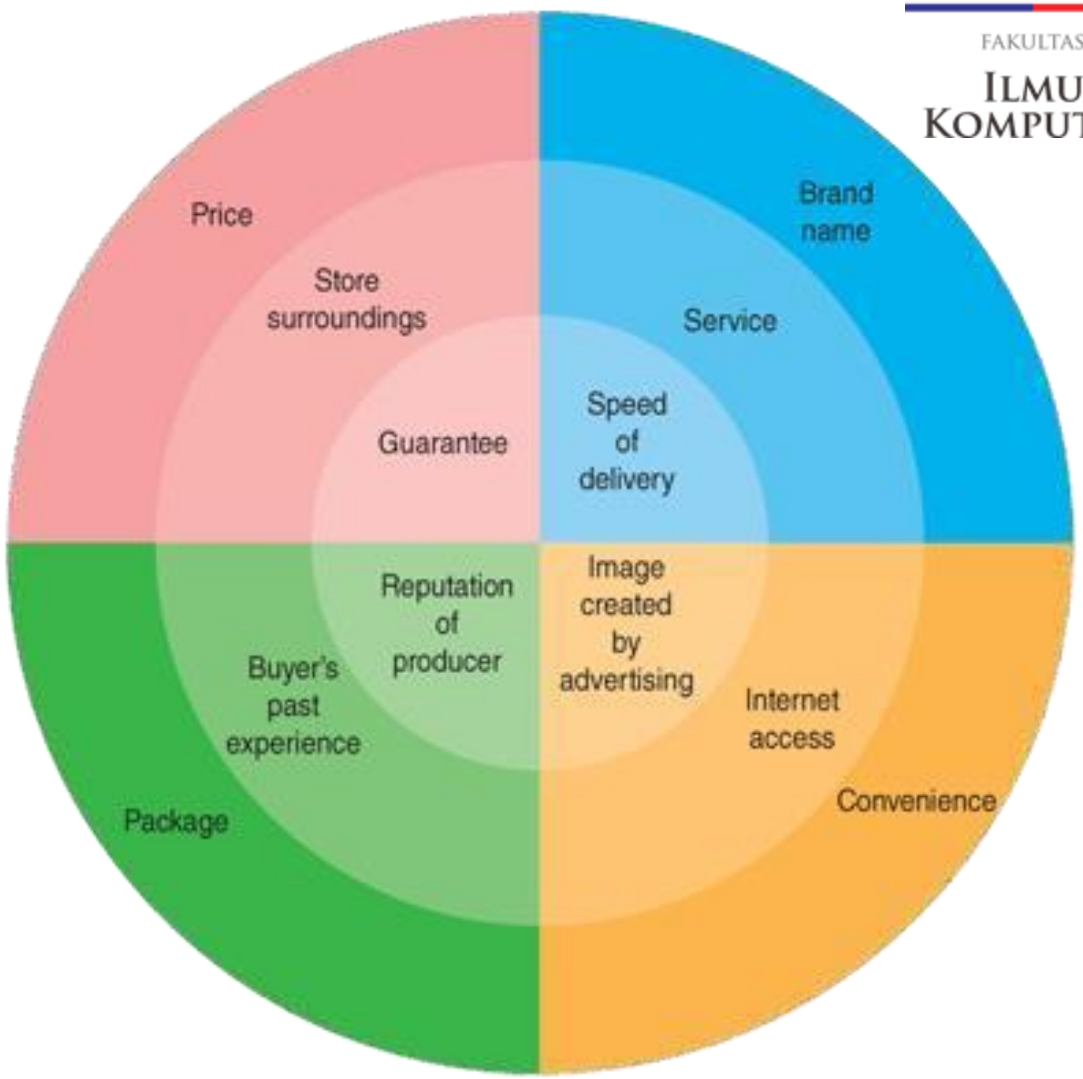
Distributed Product Development -- *The handing off of various parts of your innovation process - often to overseas companies.*

Developing A Total Product Offer

- **Total Product Offer --** *Everything consumers evaluate when deciding whether to buy something.*
  - *more than just the physical good or service*

- Products are evaluated on many different dimensions, both **tangible** and **intangible**.

- Marketers must think like and talk to consumers to find out what's important.
  - *Different consumers may want different total product offers, so a company must develop a variety of offerings*



Understanding Product Lines

- Company usually don't sell just one product.
- **Product Line --** *A group of products that are physically similar or intended for a similar market.*
- Product lines often include competing brands like:
  - Coca-Cola
    - Diet Coke
    - Coke Zero
    - Cherry Coke



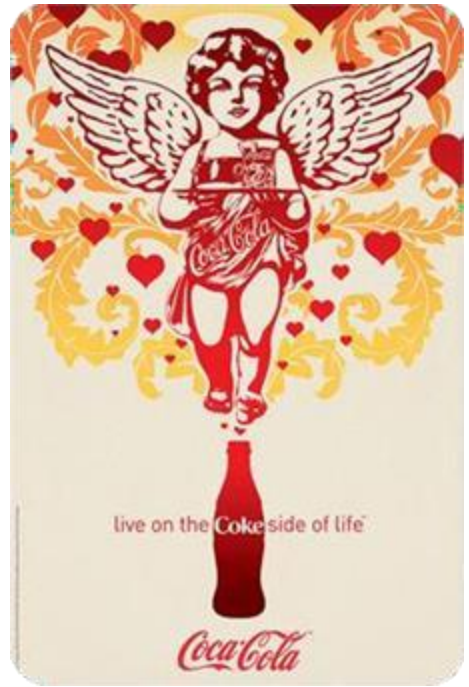


Photo Courtesy of: Coca-Cola Art Gallery

The Product Mix

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- **Product Mix --** *The combination of all product lines offered by a manufacturer or service provider.*
- Product mixes like Procter & Gamble's can be extensive:
  - Toothpaste
  - Cosmetics
  - Diapers
  - Batteries
  - Bar soap



What about service providers? What are the product mix of bank? What about telecommunication provider?

Differentiating Products

- **Product Differentiation --** *The creation of real or perceived product differences.*

- Marketers use a **mix of pricing, advertising and packaging** to create different images. Examples include:
  - Bottled water
  - Aspirin
  - Fast-food
  - Laundry detergent
  - Shampoo



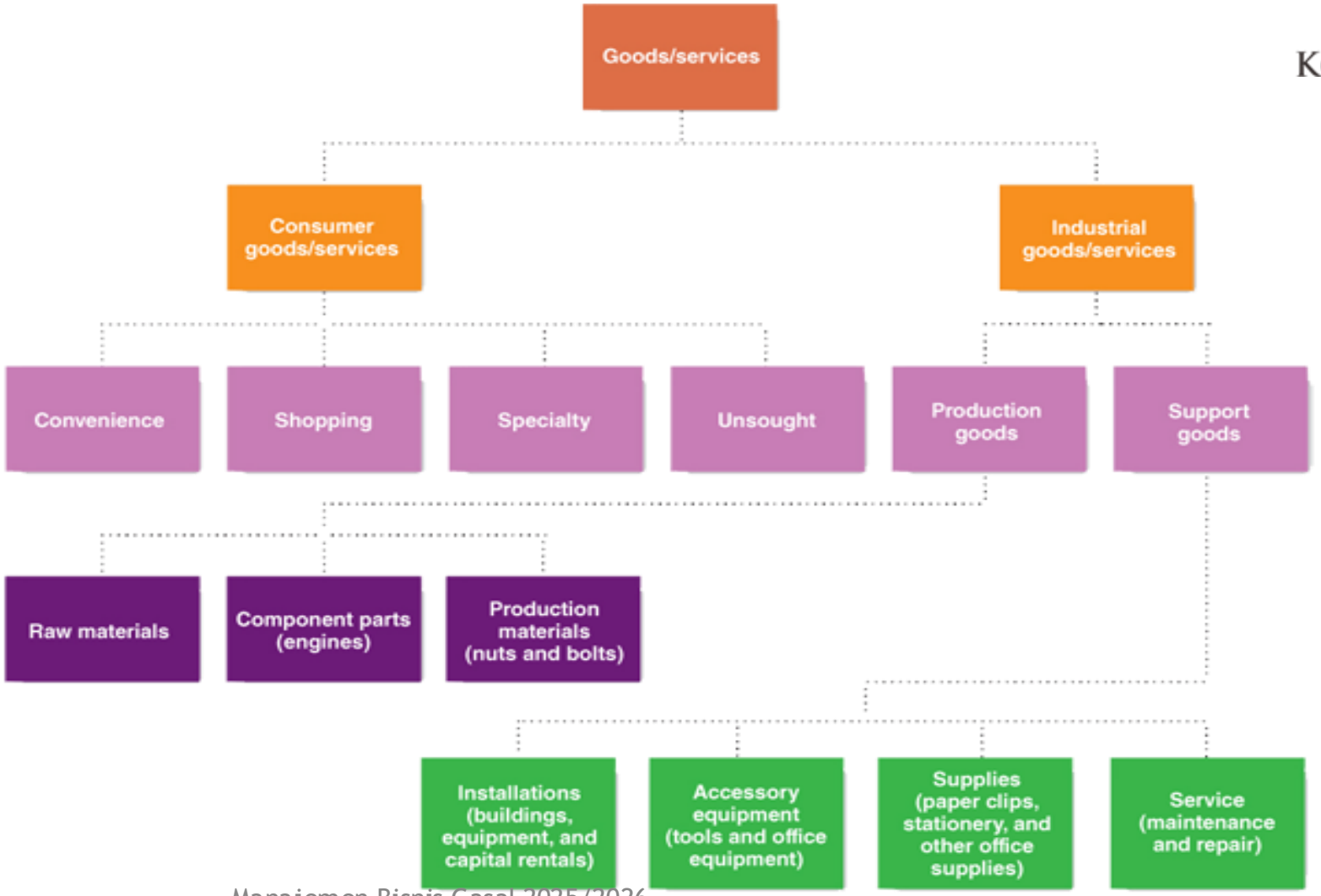
What are the differences?



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Industrial Goods vs Consumer Goods

- **Industrial Goods** -- *Products used in the **production** of other products and sold in the B2B market.*



General Categories of Consumer Goods and Services

Convenience Goods and Services	*Products consumers purchase **frequently with minimal effort**. These include:* Candy and snacks, Gas
Shopping Goods and Services	*Products consumers buy only after **comparing value, quality, price, and styles**. These include:* Clothes and shoes, Appliances and furniture, *Childcare*
Specialty Goods and Services	*Products with **unique** characteristics and **brand identity**. Consumers perceive it have no reasonable substitute. They put a special effort to purchase. These include:* Tiffany jewelry, Rolex watches
Unsought Goods and Services	*Products consumers **aren't' t aware of or haven' t thought** of buying until they need them. These include:* Car-towing services, Funeral services, Renter' s insurance

Marketing Activities For Different Categories

The marketing task varies **according to the category of product**.

How to do marketing for each classification?

- **Convenience goods:** readily available and create proper image
- **Shopping goods:** combination of price, quality, and services
- **Specialty goods**: advertising to special market segments
- **Unsought goods**: often rely on personal selling or online directories (car-towing)

Meanwhile, the classification of a product/service is **depending on each individual** consumer.

Marketers must **carefully monitor** their customer base to determine how consumers perceive their products

The Functions of Packaging

- Companies often use packaging **to change and improve** their basic product.
- **Good packaging** can also make a product **more attractive** to retailers.

To attract buyers' attention

Protect the goods inside and be tamperproof

Be easy to open and use

Describe and give **information** about the product

Explain the product's **benefits**

Provide **warranty information** and **warnings**

Give an **indication of price, value, and uses**



Understanding Branding

- **Brand --** *Name, symbol, or design that identifies the goods or services and distinguishes them from competitors' offerings.*





- **Trademark --** *A brand that has exclusive legal protection for both its brand name and design.*

What is the key differences between brand and trademark?

https://freebcomnotes.blogspot.com

Key Brand Categories



Manufacturers' Brands

- *Brand names of manufacturers that distribute products nationally. Example: Xerox, Sony, and Del*

Dealer (Private-Label) Brands

- *Products that carry a retailer's or distributor's brand name instead of a manufactures. Example:* Tissue merk Giant, Gula merk Indomaret





Generic Goods

- *Nonbranded products that sell at a discount compared to manufacturers' or dealers' brands.*

Knockoff Brands

- *Illegal copies of well-known brands. Example: Sunbucks coffee*



Photo Credit: Joe Mudd

Establishing Brand Equity and Loyalty (1/2)

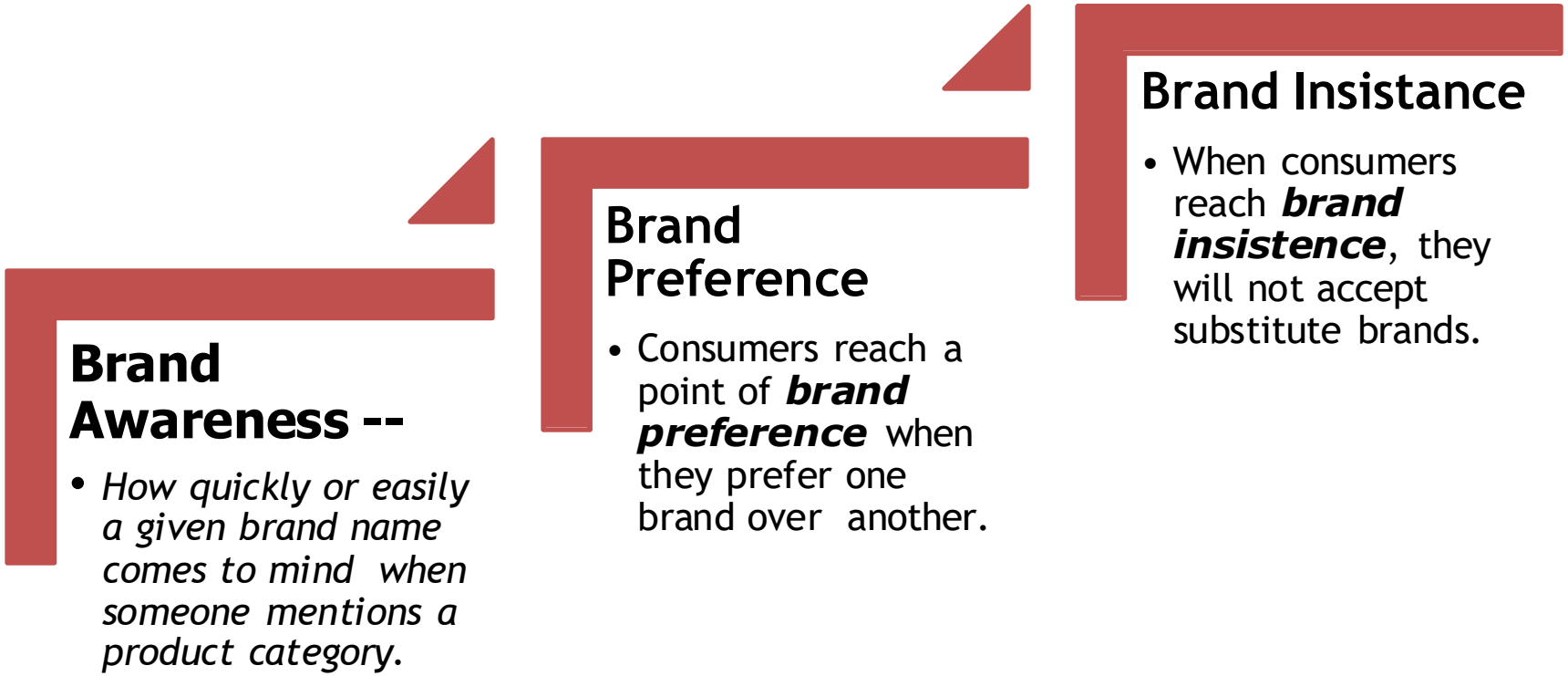
- **Brand Equity –** *The value of the brand name and associated symbols.*



Sumber:
https://biz.kompas.com/read/2023/06/11/133915728/brand-finance-nobatkan-bri-sebagai-brand-paling-bernilai-di-indonesia

Establishing Brand Equity and Loyalty (2/2)

- **Brand Loyalty --** *The degree to which consumers are satisfied and are committed to further purchases.*



Building Brand Associations

- **Brand Manager --** *Person responsible for a particular brand and handles all the elements of the brand' s marketing mix.*

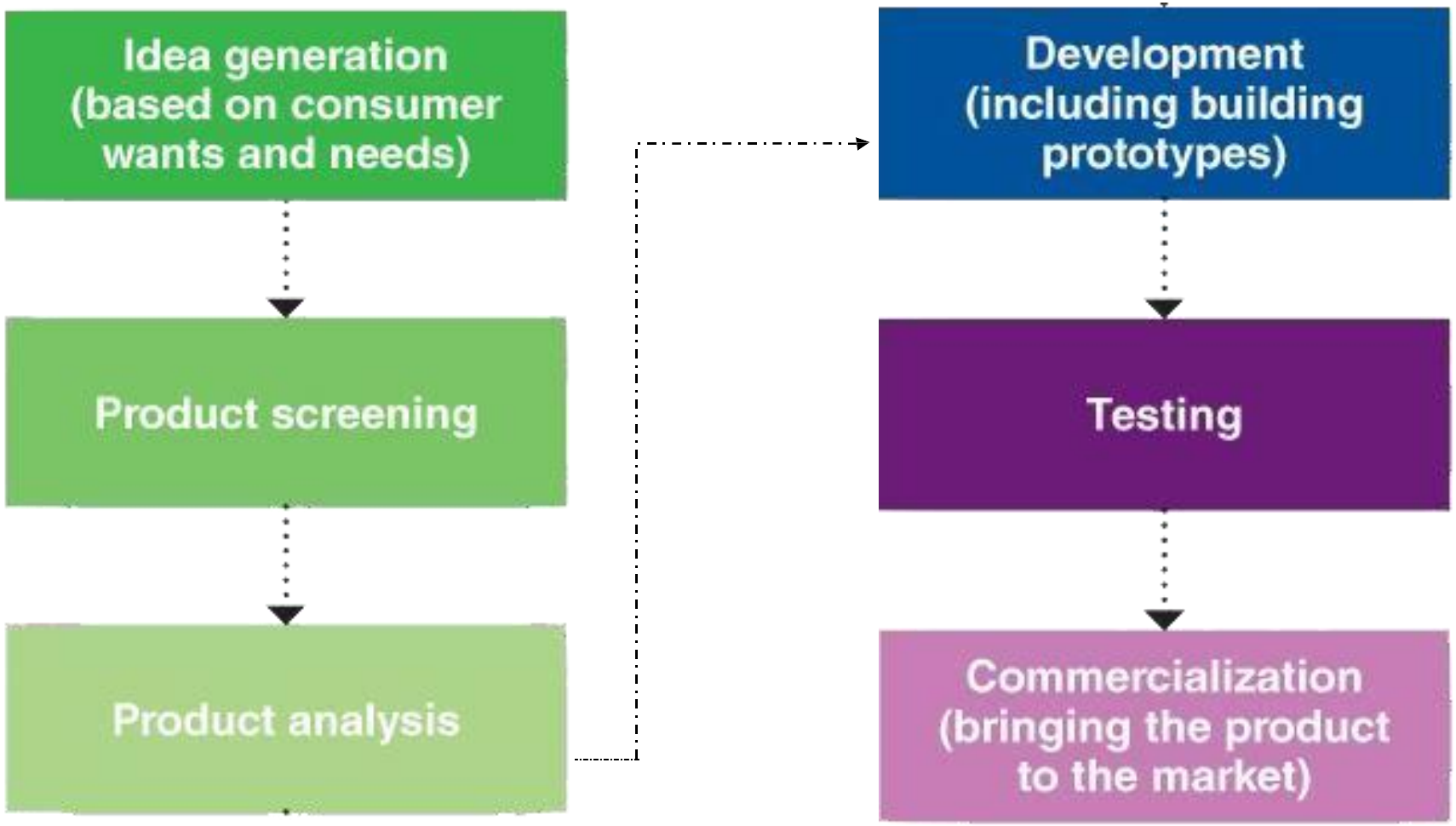
- **Brand Association --** *Linking a brand to other favorable images, like celebrities or a geographic area.*







The New Product Development Process



Reduces the number of new products a firm is working on to focus on the most promising

Focuses on the cost estimates and sales forecasts to get an idea of potential profitability

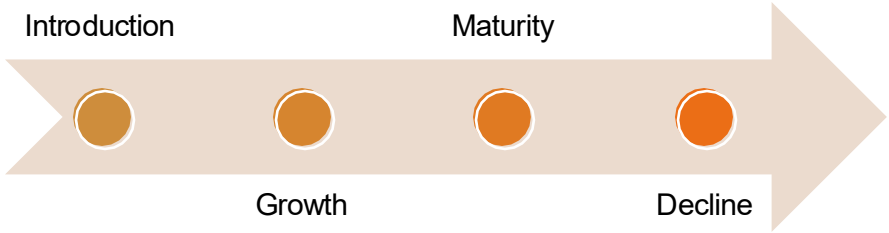
Takes a product idea to consumers to test reactions

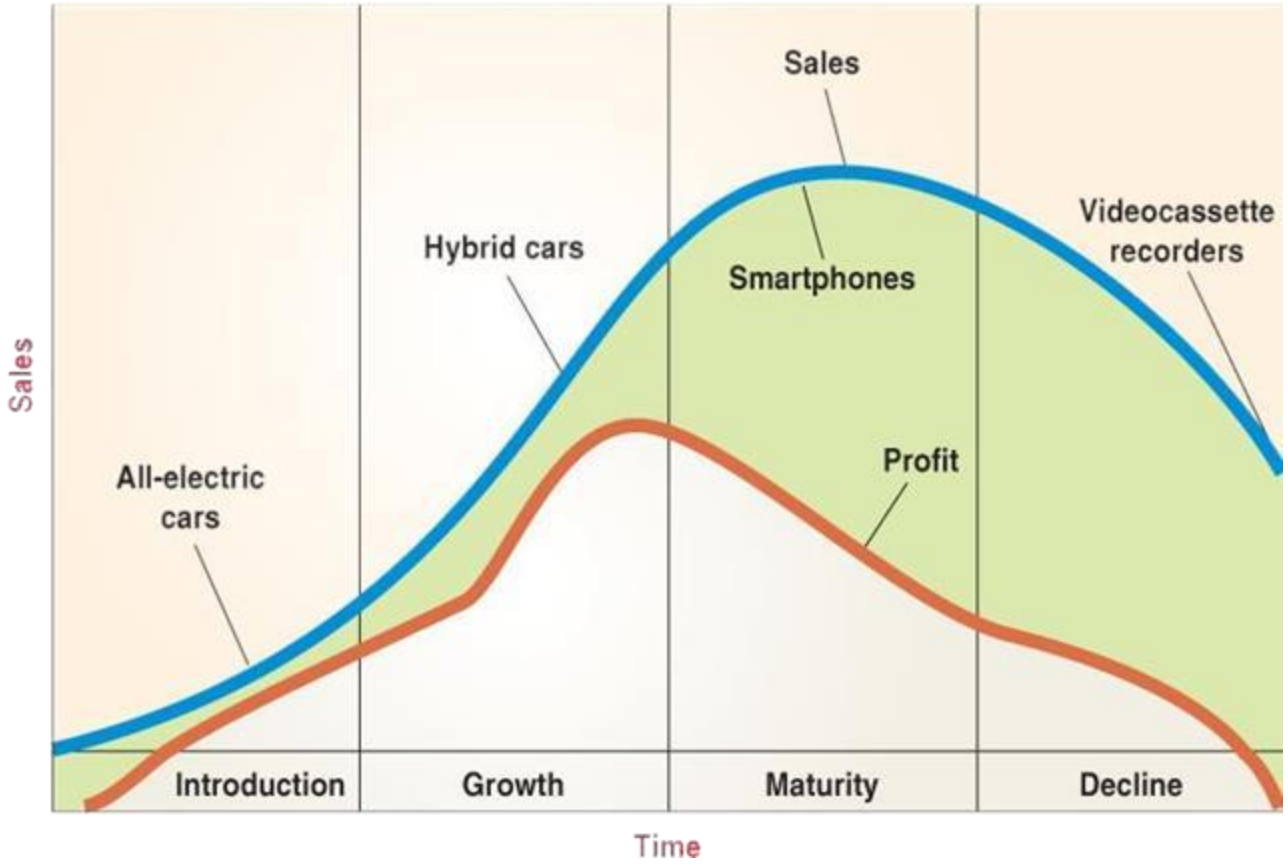
Promoting the product to distributors and retailers and developing the promotional campaign

The Four Stages of a Product Life Cycle

- **Product Life Cycle --** *A theoretical model of what happens to sales and profits for a product over time.*

- **Product Life Cycle Stages:**





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Product Life Cycle Stages & Sales, Profit, and Competition

Life Cycle Stage	Sales	Profits	Competitors
Introduction	Low sales	Losses may occur	Few
Growth	Rapidly rising sales	Very high profits	Growing number
Maturity	Maturity	Declining profits	Stable number, then declining
Decline	Falling sales	Profits may fall to become losses	Declining number

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The Product Life Cycle And The Marketing Mix

MARKETING MIX ELEMENTS				
Life Cycle Stage	**Product**	**Price**	**Place**	**Promotion**
Introduction	Offer market tested product; keep mix small	Go after innovators with high introductory price (skimming strategy) or use penetration pricing	Use wholesalers, selective distribution	Dealer promotion and heavy investment in primary demand advertising and sales promotion to get stores to carry the product and consumers to try it
Growth	Improve product; keep product mix limited	Adjust price to meet competition	Increase distribution	Heavy competitive advertising
Maturity	Differentiate product to satisfy different market segments	Further reduce price	Take over wholesaling function and intensify distribution	Emphasize brand name as well as product benefits and differences
Decline	Cut product mix; develop new product ideas	Consider price increase	Consolidate distribution; drop some outlets	Reduce advertising to only loyal customers

Pricing Objectives And Strategies

Pricing Objectives

- Achieving a target **return on investment** or **profit**
- Building **traffic**
- Achieving greater **market share**
- Creating an **image**
- Furthering social objectives both short-run and long-run

Pricing Strategies

Cost-based pricing

- Measurers **cost** of producing a product including materials, labor, and overhead.

Target Costing

- *Designing a product that satisfiesa customers and meets the firm's targeted profit margins.*

Competition-Based Pricing

- *A strategy based on what the **competition** is charging for its products.*

Using Break-even Analysis

- **Break-Even Analysis --** *The process used to determine profitability at various levels of sales. The break-even point is where revenues equals cost.*

$$\text{Break-even point (BEP)} = \frac{\text{Total fixed costs (FC)}}{\text{Price of one unit (P)} - \text{Variable costs (VC) of one unit}}$$

- **Total Fixed Costs --** *All costs that remain the same no matter how much is produced or sold.*
- **Variable Costs --** *Costs that change according to the level of production.*

If you want to sell Siomay that need Rp 3.000.000 fixed cost, and a variable cost of Rp 10.000 per pax, and you sell your product for Rp 15.000 per pax, what would be your BEP?

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If you want to sell Siomay that need Rp 3.000.000 fixed cost, and a variable cost of Rp 10.000 per pax, and you sell your product for Rp 15.000 per pax, what would be your BEP?

$$\text{Break-even point (BEP)} = \frac{\text{Total fixed costs (FC)}}{\text{Price of one unit (P)} - \text{Variable costs (VC) of one unit}}$$

Fixed Cost	3.000.000
Variable Cost	10.000
Price	15.000

$$\text{BEP} = \frac{\text{Fixed cost}}{\text{(Price - Variable Cost)}} = \frac{3.000.000}{(15.000 - 10.000)} = \frac{3.000.000}{5.000} = 600 \text{ pax}$$

- We can also find when will we reach the BEP. However, we need assumption of sales quantitfy per day/month
- When will we reach the BEP if we can sell 50 pax Siomay a month?

How Selling More can Give You More Profit

- To sell Siomay, you will need fixed cost of **3 million** IDR for renting place and buying stoves.
- You also need to buy the ingredients (meats, flour, etc) that considered as variable cost. To sell a package of siomay you will need IDR **10.000 (per pax)**

If you successfully sold 100 pax a month

Total Cost = Fixed cost + Variable cost
= Rp. 3,000,000 + [1200 x Rp. 10,000]
= Rp. 15,000,000 a year

Price per unit: Rp. 15,000

Total Rev = Quantity x Price per unit
= 1200 x 15,000 = Rp. 18,000,000 a year

Profit = TR – TC = 3,000,000 for a year

If you successfully sold 50 pax a month

Total Cost = Fixed cost + Variable cost
= Rp. 3,000,000 + [600 x Rp. 10,000]
= Rp. 9,000,000 a year

Price per unit: Rp. 15,000

Total Rev = Quantity x Price per unit
= 600 x 15,000 = Rp. 9,000,000 a year

Profit = TR – TC = 0 for a year

Pricing Alternatives

Skimming Price Strategy

- *Pricing new products **high to** recover costs and **make high profits while competition is limited.***

Penetration Price Strategy

- *Pricing products **low with the hope of attracting more buyers** and discouraging other companies from competing in the market.*

Everyday Low Pricing (EDLP)

- *Setting **prices lower than competitors** with **no special sales**.*

High-Low Pricing

- *Using regular prices that are higher than EDLP stores except during **special sales when they are lower.***

Psychological Pricing

- *Pricing products at price points that make a product seem less expensive than it is.* Example: setting price $299,000 (sound less than $300,000)



Referensi

- Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2018). Understanding business(12th edition). Boston: McGraw-Hill/Irwin